

Disclosure Statement at 31st December 2025

This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the Insurance (Public Disclosure) Rules.

1 Company profile

- (a) Authorized insurer's name

HSBC Life (International) Limited

- (b) Nature of the business, and places of business operations

HSBC Life (International) Limited (the "Company") is a company incorporated in Bermuda and operating in Hong Kong. The Company's principal place of business is in Hong Kong. The Company is an authorized insurer to carry on long-term insurance business in Hong Kong. The principal activities of the Company are life assurance and retirement benefit business.

- (c) Description of corporate structure

The Company is incorporated in Bermuda with its registered office and principal place of business in Hong Kong. The material shareholder controllers of the Company include The Hongkong and Shanghai Banking Corporation Limited, a company incorporated in Hong Kong with limited liability and its ultimate holding company, HSBC Holdings plc, a company incorporated in England and Wales with limited liability.

The Hongkong and Shanghai Banking Corporation Limited is an authorized institution under the Banking Ordinance and provides a comprehensive range of domestic and international banking and related financial services, principally in the Asia-Pacific region.

HSBC Holdings plc, the parent company of the HSBC Group, is headquartered in London and is one of the world's largest banking and financial services organisations.

2 Corporate governance framework

The governance framework of the Company is established to maintain high standards of corporate governance, run the business in an efficient and effective manner, and align governance structures to the risks they carry. The Company leverages the Audit Committee and Risk Committee of HSBC Insurance (Asia) Limited, as the immediate shareholder of the Company, which oversees the Company's business, to provide an independent review of the effectiveness of the financial reporting process and internal control system and oversight of the Company's risks and its risk management framework respectively. The Board of the Company also delegates oversight of matters relating to management of participating products to the Participating Business Committee; and the management, operations and day-to-day running of the Hong Kong Insurance business to the Executive Committee.

The roles and responsibilities of the key committees supporting the Company are set out below:

Audit Committee

The Audit Committee is responsible for overseeing matters relating to financial reporting and internal controls impacting the Company, in particular reviewing: (i) the integrity of the financial statements, formal announcements and disclosures relating to financial performance, (ii) the effectiveness of Internal Audit and the external audit process, and (iii) the effectiveness of internal control system, subject to input from the Risk Committee.

Risk Committee

The Risk Committee is responsible for overseeing all risk-related matters and the enterprise risks impacting the Company, and risk governance.

Executive Committee

The Executive Committee is responsible for the exercise of all of the powers, authorities and discretions of the Board in so far as they concern the management, operations and day-to-day running of the Company.

Participating Business Committee

The Participating Business Committee provides independent and objective advice to the Board on the management of the Company's Participating business, assesses whether the Participating business policyholders are treated fairly and considers issues affecting those policyholders as a whole or as separately identifiable sub-groups.

3 Financial position

(a) Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 st December 2025				As at 31 st December 2024			
	Total	Long term business	Of which belongs to: long term business – participating business	Shareholders' fund	Total	Long term business	Of which belongs to: long term business – participating business	Shareholders' fund
Total assets	644,542,126	626,400,214	427,072,989	18,141,912	562,968,792	541,446,720	363,146,122	21,522,072
Cash and deposits	17,030,416	16,534,926	9,204,624	495,490	13,316,757	12,385,558	8,294,001	931,199
Debt securities	315,559,344	298,130,592	181,132,159	17,428,752	294,128,531	274,949,950	167,814,910	19,178,581
Equities (including portfolio investments)	214,217,743	214,035,941	197,541,354	181,802	169,747,649	168,366,157	154,966,756	1,381,492
Derivative financial instruments	467,419	467,419	407,439	-	1,212,182	1,211,677	1,119,313	505
Properties	3,927,300	3,927,300	3,927,300	-	4,197,400	4,197,400	4,197,400	-
Loans and advances	12,979,527	12,979,527	9,458,314	-	14,191,634	14,191,634	10,530,083	-
Reverse repurchase agreement	-	-	-	-	-	-	-	-
Other financial assets	7,007,785	7,006,545	3,300,914	1,240	3,178,670	3,172,807	1,637,583	5,863
Policyholder's account assets in respect of unit linked products or retirement scheme	40,911,379	40,911,379	-	-	40,147,692	40,147,692	-	-
Reinsurance assets	31,959,923	31,959,923	22,420,515	-	22,793,120	22,793,120	14,725,204	-
Tax assets	-	-	-	-	-	-	-	-
Other assets	481,290	446,662	(319,630)	34,628	55,157	30,725	(139,128)	24,432
Total liabilities	564,989,630	553,505,150	373,367,044	11,484,480	498,484,629	492,017,610	329,092,111	6,467,019
Insurance liabilities	544,424,746	544,424,746	369,423,922	-	476,088,259	476,088,259	316,518,143	-
Reinsurance liabilities	3,075,390	3,075,390	1,022,869	-	2,790,739	2,790,739	886,574	-
Repurchase agreement	1,312,552	1,312,552	1,312,552	-	9,224,617	9,224,617	8,831,747	-
Derivative financial instruments	441,660	441,660	402,063	-	629,347	629,347	610,199	-
Other financial liabilities	8,133,403	2,485,948	276,428	5,647,455	3,608,743	2,011,296	1,615,893	1,597,447
Tax liabilities	5,458,558	(101)	(101)	5,458,659	4,509,921	2,008	2,008	4,507,913
Other liabilities	2,143,321	1,764,955	929,311	378,366	1,633,003	1,271,344	627,547	361,659
Net assets	79,552,496	72,895,064	53,705,945	6,657,432	64,484,163	49,429,110	34,054,011	15,055,053

(b) Material change or other commentary on balance sheet items (if any)

Over the period, the balance sheet grew, reflecting continued new business momentum and supportive market conditions. Cash and deposits increased, mainly due to strong inflows from new premium receipts, partly offset by routine investment deployment and scheduled tax and dividend payments. Investment portfolios (debt securities, equities and derivatives) rose, driven by net purchases alongside positive market valuation gains. Reinsurance assets increased, driven by new reinsurance arrangements.

On the liabilities side, the increase in insurance liabilities was in line with growth in the in-force portfolio driven by continued new business. Repurchase agreement balances declined, reflecting net repayment of short-term funding in line with active liquidity and investment strategies. Other financial liabilities increased, primarily due to the issuance of new subordinated loans to support the capital structure.

Overall, total assets and net assets grew, underpinned by sustained business growth and favourable investment performance.

4 Investments

(a) Assumptions and methods used for valuation of investments

According to Insurance (Valuation and Capital) Rules (Cap. 41 sub. leg. R), the Company's investments are recognized at market value.

In the event that the market for a financial instrument is not active, and the valuation technique uses only observable market data, the reliability of the market value measurement is high. However, when valuation techniques include one or more significant unobservable inputs, they rely to a greater extent on management judgement and the market value derived becomes less reliable. In the absence of observable valuation inputs, due to a lack of or reduced volume of similar transactions, management judgement is required to assess the price at which an arm's length transaction would occur under normal business conditions, in which case management may rely on historical prices for that particular financial instrument or on recent prices for similar instruments.

(b) Material change in assumptions and methods (if any)

There were no material changes in assumptions and methods during the year.

5 Insurance liabilities

(a) Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 st December 2025					
	Participating business	Linked long term (Class C)	Retirement scheme category I (Class G)	Retirement scheme category II (Class H)	Other long term business	Total long term business
Total insurance liabilities (gross of reinsurance)	369,423,922	8,034,133	23,619,317	5,960,784	137,386,590	544,424,746
Of which: long term insurance liabilities	369,423,922	8,034,133	23,619,317	5,960,784	137,386,590	544,424,746
Outstanding claims	1,101,014	66,972	31,003	514,247	464,444	2,177,680
Current estimate ¹	363,915,869	7,898,147	23,504,500	5,435,145	133,584,073	534,337,734
Margin over current estimate	1,225,245	67,510	83,814	11,392	586,291	1,974,252
Prepaid premiums	3,181,794	1,504	-	-	2,751,782	5,935,080
Other long term insurance liabilities	-	-	-	-	-	-
Of which: general insurance liabilities	-	-	-	-	-	-
Reinsurance assets	22,420,515	1,001	-	-	9,538,407	31,959,923
Reinsurance liabilities	1,022,869	45,226	-	-	2,007,295	3,075,390

(Unit: in HKD thousands)	As at 31 st December 2024					
	Participating business	Linked long term (Class C)	Retirement scheme category I (Class G)	Retirement scheme category II (Class H)	Other long term business	Total long term business
Total insurance liabilities (gross of reinsurance)	316,518,143	8,031,398	22,631,883	5,313,875	123,592,960	476,088,259
Of which: long term insurance liabilities	316,518,143	8,031,398	22,631,883	5,313,875	123,592,960	476,088,259
Outstanding claims	1,064,058	85,704	97,944	109,422	641,764	1,998,892
Current estimate	312,684,423	7,861,301	22,455,334	5,192,655	121,193,799	469,387,512
Margin over current estimate	728,388	83,661	78,605	11,798	705,276	1,607,728
Prepaid premiums	2,041,274	732	-	-	1,052,121	3,094,127
Other long term insurance liabilities	-	-	-	-	-	-
Of which: general insurance liabilities	-	-	-	-	-	-
Reinsurance assets	14,725,204	1,092	-	-	8,066,824	22,793,120
Reinsurance liabilities	886,574	63,752	-	-	1,840,413	2,790,739

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

- (b) Assumptions and method used to derive the assumptions for determining insurance liabilities

Insurance liabilities comprise (i) outstanding claims; (ii) current estimate; (iii) margin over current estimate; and (iv) prepaid premiums. They are measured in accordance with the Insurance (Valuation and Capital) Rules and are subject to an annual external audit.

Current estimate:

- the probability-weighted average of the present value of future cash flows arising from the underlying insurance obligations, calculated using best estimated assumptions and discounted using the risk-free yield curves plus any applicable matching adjustment.

Margin over current estimate:

- an additional provision to reflect the uncertainty of insurance-related liability cash flow, calibrated to 75th percentile.

Best estimated assumptions are intended to represent the best expectation of future long-term experience which covers but is not limited to mortality, expense and policyholder persistency assumptions. They are derived principally using experience studies, with explicit consideration of data credibility and statistical reliability.

Risk-free yield curves by currency are published by the Insurance Authority (IA), and applied based on the currency of the underlying insurance obligations.

- (c) Material change in assumptions and methods used to derive the assumptions, or other commentary on the insurance liabilities (if any)

Assumptions and methodology are reviewed on a regular basis. Compared with the reporting year of 2024, the underlying lapse assumptions have been refreshed to reflect observable experience from the experience study carried out in 2025.

6 Financial performance

- (a) Financial performance in total and at a segmented level, including premiums, investment returns and claims

Performance Analysis on Premiums and Claims

(Unit: in HKD thousands)	For the financial year ended 31 st December 2025			For the financial year ended 31 st December 2024		
	Total	Long term business	Of which belongs to: long term business – participating business	Total	Long term business	Of which belongs to: long term business – participating business
Gross premiums²	97,785,145	97,785,145	80,467,509	65,836,246	65,836,246	53,765,307
Regular premiums	Not applicable	69,103,408	60,637,164	Not applicable	46,264,218	39,707,534
Single premiums	Not applicable	28,681,737	19,830,345	Not applicable	19,572,028	14,057,773
Net premiums	86,484,083	86,484,083	72,377,541	64,133,912	64,133,912	53,605,512
Regular premiums	Not applicable	57,817,624	52,549,966	Not applicable	44,693,195	39,575,225
Single premiums	Not applicable	28,666,459	19,827,575	Not applicable	19,440,717	14,030,287
Gross claims paid	59,405,942	59,405,942	37,933,630	50,406,310	50,406,310	27,711,205
Net claims paid	53,046,448	53,046,448	35,033,493	43,922,925	43,922,925	25,402,606

Performance Analysis on investment returns

(Unit: in HKD thousands)	For the financial year ended 31 st December 2025				For the financial year ended 31 st December 2024			
	Total	Long term business	Of which belongs to: long term business – participating business	Shareholders' fund	Total	Long term business	Of which belongs to: long term business – participating business	Shareholders' fund
Investment returns	52,203,936	51,017,740	37,278,497	1,186,196	26,525,180	26,195,120	21,422,610	330,060

² For long term business, it refers to premiums received and receivable during the financial year.

(b) Material change or other commentary on financial performance (if any)

Driven by the Company's strong business growth, gross premiums (including both regular and single premiums) increased significantly from FY24 to FY25. In line with this higher premium volume and the larger in-force/new business base it supports, the net premiums, gross claims paid and net claims paid also recorded significant increases in FY25.

The Company's core insurance businesses along with its investment activities delivered a stronger performance in 2025 compared with 2024, supported by several key drivers. Higher customer premium inflows lifted total assets under management (AUM), expanding the capital base available for investment. Further, market conditions were also supported by lower interest rates which enhanced investment returns of fixed income assets, while equity markets, particularly in Asia, performed strongly following the momentum in 2024. In addition, the long-term insurance portfolio, including universal life products, benefited from the favourable interest rate environment, contributing to the overall uplifts in the Company's performance and a significant increase in unrealized gains across fixed income and equity investments.

7 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount

(Unit: in HKD thousands)	As at 31 st December 2025	As at 31 st December 2024
Market risk (diversified RCA)	31,095,856	23,702,761
Interest rate risk RCA	6,764,983	6,028,493
Credit spread risk RCA	9,623,335	10,571,892
Equity risk RCA	21,476,385	13,038,021
Property risk RCA	602,075	630,538
Currency risk RCA	1,816,850	1,317,974
Diversification benefits within market risk	(9,187,770)	(7,884,157)
Life Insurance Risk (diversified RCA)	7,928,020	6,302,937
Mortality risk RCA	727,041	644,823
Longevity risk RCA	32,038	11,067
Life catastrophe risk RCA	183,099	172,288
Morbidity risk RCA	262,946	230,588
Expense risk RCA	1,119,320	1,098,371
Lapse risk RCA	7,154,983	5,530,463
Diversification benefits within life insurance risk	(1,551,407)	(1,384,663)
Counterparty default and other risk RCA	1,247,920	2,637,730
Diversification benefits among risk modules	(5,935,566)	(5,758,907)
Operational risk RCA	4,703,629	2,650,450
Adjustment for loss absorbing capacity cap	-	-
Adjustment for tax effect	(5,980,906)	(4,512,944)
Any other items which the IA may specify to adjust	-	-
Prescribed capital amount	33,058,952	25,022,028

- (b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base

(Unit: in HKD thousands)	As at 31 st December 2025	As at 31 st December 2024
Unlimited Tier 1 capital	79,278,006	62,439,960
Limited Tier 1 capital	-	-
Tier 2 capital	5,734,490	3,578,203
Capital base	85,012,496	66,018,163

- (c) Ratio of capital base to prescribed capital amount

	As at 31 st December 2025	As at 31 st December 2024
Ratio of capital base to prescribed capital amount	257%	264%

- (d) Material change or other commentary on prescribed capital amount, capital base, and ratio of capital base to prescribed capital amount (if any)

The prescribed capital amount is predominantly driven by market risk.

In 2025, the prescribed capital amount increased relative to 2024, reflecting new business and overall portfolio growth. The key contributors to the increase were:

- Equity risk increased in light of higher equity exposure arising from new business, coupled with a higher capital charge for equities under its countercyclical adjustment as prescribed by Insurance Authority, reflecting the current equity index level.
- Operational risk associated with higher written premiums over the year.

The capital base strengthened in 2025 compared with 2024, supported by surplus generation from both new and in-force business as well as favourable equity market performance. This improvement was partly offset by shareholder dividend remittance.

Overall, the ratio of capital base to prescribed capital amount remains at a healthy level, supported by stronger capital base partly offset by increased prescribed capital amount.

8 Risk Management

(a) Risk appetite and risk governance framework

The Company manages risk using a Group-wide framework that sets out how the Company identifies, assesses and manages the main risks in the business. The Company's aim is to protect customers, meet regulatory requirements and remain financially strong.

The Company's risk appetite describes how much risk the Company is willing to accept when running the business. The Board reviews and approves this regularly and monitors it using key measures. During the year, the Company continued to use the same approach, with ongoing monitoring to ensure risks stayed within agreed limits.

Senior management is responsible for managing risk day to day, supported by specialist risk teams. The Board Risk Committee and other senior committees oversee key decisions and provide challenge where needed.

The Company also manages its assets and liabilities together at fund level to ensure it can meet customer payments when due, maintain appropriate liquidity and manage the impact of market movements.

(b) Insurance risk management

Insurance risk is the risk that claims and other costs are higher than expected, or occur at different times than expected. This can be affected by factors such as deaths, surrenders and expenses. The Company assesses these risks across the business and, where relevant, by product type, overseen by the Board.

The Company monitors whether there is higher exposure to particular groups of customers or types of cover, and sets limits and controls to avoid undue concentration.

The Company manages insurance risk through careful product design, appropriate pricing and approval, and ongoing reviews to check experience remains in line with expectations. The Company also uses underwriting to assess applications and manage exposure.

Where appropriate, the Company transfers part of the risk to other insurers (reinsurers). This helps keep risk within agreed limits and reduces volatility. The Company's actuarial governance reviews the key methods and assumptions used in these assessments.

(c) Investment risk management

The Company invests to meet payments to customers and to support long-term returns, while keeping enough cash available to meet obligations when they fall due and maintaining a strong capital position. The Company manages investment risk for the overall portfolio at fund level.

Key investment risks include changes in market prices (such as interest rates and share prices), the risk that an issuer or counterparty cannot pay, the risk of not having cash available when needed, and over-exposure to a single issuer, sector or region.

The Company manages these risks through diversification, clear investment limits, regular monitoring and reporting, and stress testing to understand how the portfolio could perform in adverse conditions. Where appropriate, the Company may use hedging to reduce specific risks.

The Investment Committee oversees investment decisions, supported by independent risk oversight, with final oversight from the Board.

(d) Other risk management (if any)

Operational risk is the risk of loss or disruption caused by failures in people, processes, systems or external events. The Company manages this through a structured approach to identifying key risks, maintaining effective controls, and tracking improvements, with the objective of managing risk within appetite.

The Company records and investigates incidents to understand root causes and prevent recurrence. The Company also assesses risk when making significant changes (such as new systems, outsourcing or major process changes) to ensure risks are identified and managed before and during implementation.

Senior management committees oversee the operational risk profile, including key issues and actions, and escalate material matters for appropriate review and decision-making. Operational risk is ultimately overseen by the Board.

9 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of HSBC Life (International) Limited;
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Public Disclosure) Rules and the Insurance (Valuation and Capital) Rules (subject to any variation or relaxation applied thereto);
- (iii) I am satisfied that the information in this disclosure statement can be reconciled with the relevant specified annual forms, on each of which an auditor's report is provided, of HSBC Life (International) Limited's annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4(1) of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that HSBC Life (International) Limited has complied with all capital requirements that apply to it under the Insurance (Valuation and Capital) Rules (as relaxed or varied, if applicable), during the financial year to which this disclosure statement relates.

Name:	Tsang Pui Shan
Position:	Director
Company Name:	HSBC Life (International) Limited